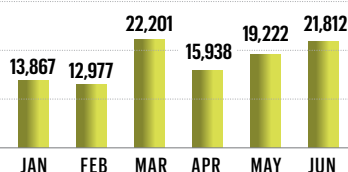
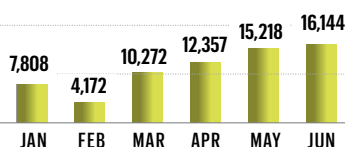


TWO-WHEELER MAKERS IN 2026

HERO MOTOCORP



OLA ELECTRIC MOBILITY



besides a ₹1 lakh scrappage incentive for old ICE cars. Uttar Pradesh, Maharashtra, Gujarat and Telangana, among others, also offer road tax waivers on EVs.

THE MISSING LINK

Despite having 25 models in the mass market, only three EV models are priced under ₹11 lakh: Tata Tiago EV, MG Comet EV and Tata Punch EV (only the base variant). To be clear, the average selling price of a car in India is around ₹11 lakh.

Affordable EVs have yet to reach price parity with their ICE siblings. The Tata Tiago EV is about 50% costlier than the entry-level petrol Tiago on an ex-showroom basis. Smaller battery packs also keep real-world range below an acceptable 400 km.

However, despite these shortcomings, demand remains strong for small EVs.

Entry-segment cars such as the Punch EV and Tiago EV have seen



“We are optimistic that this buoyant demand will continue in the coming months. An EV buyer today has multiple choices”

RAJESH MENON

**DIRECTOR GENERAL,
SIAM**

phenomenal growth, says Chandra. “More demand is coming from small EVs priced under ₹15 lakh. Punch EV demand has increased six-seven times. We are able to supply three times as many,” he adds.

Except for Tata Motors, most

large carmakers have taken a top-down approach to EV launches.

Hyundai launched its first EV, the Kona Electric, priced around ₹25 lakh, in 2019. Although the South Korean carmaker was among the first companies to introduce EVs, the Kona struggled. In 2023, Hyundai introduced its flagship IONIQ 5 EV, priced at ₹45 lakh. The EV version of Hyundai’s popular Creta SUV, the Creta EV, priced at ₹18.02 lakh, has also struggled to take off, with about 400-500 units being sold each month.

Hyundai’s sister mass-premium brand Kia also followed the same approach with the imported EV6 and EV9. After failing to make a dent in India’s EV space with the Carens Clavis EV, the automaker will soon launch its compact electric car, the Syros EV.

Though Maruti Suzuki, too, entered the fray with the mid-size SUV eVitara, it has yet to enter the small EV segment, where the bulk volumes reside.

While M&M was among India’s earliest major automakers to embrace EVs by acquiring a controlling stake in Bengaluru-based Reva Electric in 2010, the company now wants to focus only on premium EVs.

THE LUXURY DRIVE

In the luxury segment, EV penetration has moved into double digits. Mercedes-Benz India’s EV share doubled to 14% in the June quarter after the launch of the CLA BEV. “Enquiries for luxury EVs have gone up due to the West Asia war. More products are going to change the game,” Santosh Iyer, MD and CEO, Mercedes-Benz India, tells BT.

Every fourth car sold by BMW in 2026 was an EV. “A lot of customers are apprehensive about future fuel